Chapter One

Introduction to Management Accounting

Course Name : Management Accounting - I
Course Code BSAC2208
Specialization : Accounting And Finance
College of Economics and Business Administration
UTAS - Ibri

Outcome no 1

- Explain the purposes and role of management accounting within an organization.

- Explain data and information, its sources uses and limitations.

- Analyze the different sampling techniques and their appropriate methods.
- Summarize management information to management

Topic 1

Management Accounting – Definition, Purpose and Role

Essential Reading :

- M.N. Arora, Cost and Management Accounting – Theory, Problems and Solutions , Himalaya Publishing House

https://ebookcentral.proquest.com/lib/momp/reader.action?docID=588040&ppg=6

- **Suggested Reading :**

P. Periasamy, Textbook of Financial Cost and Management Accounting , Global Media

https://ebookcentral.proquest.com/lib/momp/reader.action?docID=3011183&ppg=521

Definition of Management Accounting:

According to the **Institute of Chartered Accountants of England,** *"any form of accounting which enables a business to be conducted more efficiently"* may be regarded as management accounting.

The Chartered Institute of Management Accountants (CIMA) of UK has given a very authoritative and comprehensive definition as follows:

"Management accounting is an Integral part of management concerned with identifying, presenting and interpreting information used for -
(i) formulating strategy;
(ii) planning and controlling activities;
(iii) decision-making:
(iv) optimizing the use of resources;
(v) disclosure to shareholders and others external to the entity:
(vi) disclosure to employees; and
(vii) safeguarding assets."

Purpose and Role of Management Accounting in an Organization

1. **Allocation of Resources**

   Management accounting helps decide the best way to use limited resources. For example, it determines how to distribute a budget across various projects, considering factors like available funds and market demand.

2. **Measuring Performance**

   It tracks how well employees and resources are performing. For instance, it assesses if a department is meeting its performance targets and how efficiently resources are being used.

3. **Assessing Risk**

   It evaluates potential risks and works to minimize them while aiming to keep profits in check. For example, before launching a new product, management accounting assesses potential risks and prepares strategies to handle them.

4. **Coordinate and Administer**

   It manages and controls operational activities using tools like budgets and cost standards. For instance, it sets budgets for different departments and forecasts sales to improve overall performance.

Purpose and Role of Management Accounting in an Organization (contd…)

5. Performance Comparison

It compares actual performance against set standards to identify and analyze any differences. For example, it measures actual sales against the sales targets to see if the goals are being met.

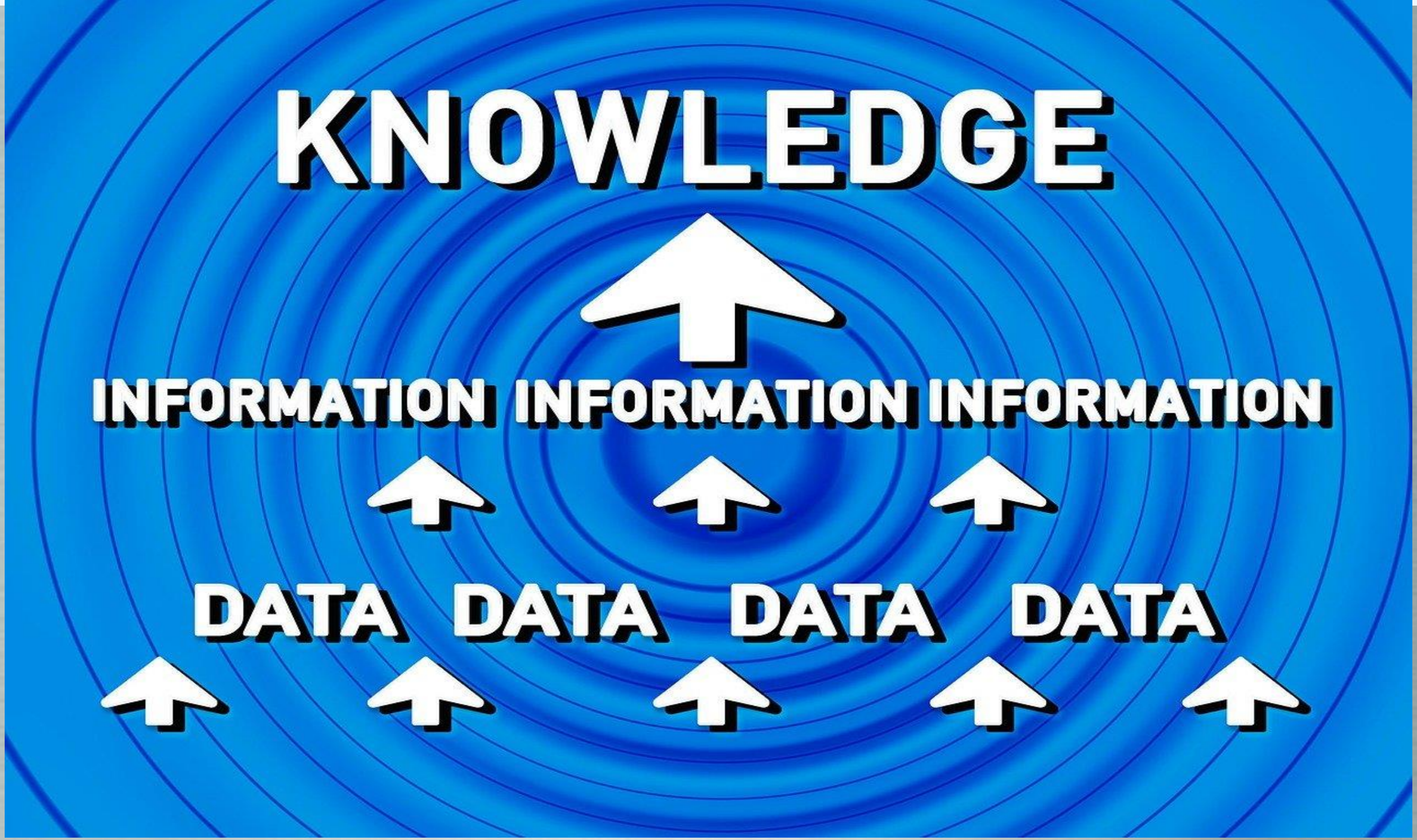
6. Identify Different Forces and Their Impact

It identifies how external factors like economic conditions, social trends, and government regulations affect the organization and takes corrective actions. For example, it adjusts business strategies in response to new government regulations.

7. Preparation of Reports for Government Agencies

It ensures the organization meets official reporting requirements. For example, it prepares financial statements and reports needed for tax purposes or regulatory compliance.

Topic 2



Data and Information

- **Essential Reading :**

M. Sarngadharan , and M.C. Minimol, Management Information System , Himalaya Publishing House

https://ebookcentral.proquest.com/lib/momp/reader.action?docID=3011311&ppg=14

Data and Information

- Information is the term used to represent data that has been presented in order to alter the understanding of the receiver.

- The relation of data to information is that of raw material to finished product.

- In other words, data which has been processed into useful and meaningful form is called Information.

Eg: Haseena , UTAS, a, Second year, Diploma, Student, is , in

DATA

Haseena is a Diploma Second Year Student in UTAS

INFORMATION

Sources of Data

Internal Sources of Data :

1. The Accounting records – Purchase Ledger, Sales Ledger, Financial Statements, Cost Ledgers etc
2. Personnel Data from Payroll System
3. Data from Production Department – Machine Capacity, Movement of people, setup costs etc

External sources of Data :

1. Primary Sources of Data – Data collected directly from the origin of an item of data
2. Secondary Sources of Data - Governments; Banks; Newspapers; Trade Journals; Information Bureaux; Consultancies; Libraries; and Information Services.

Uses of data:

1. **Informed Decision-Making**

   Data helps make better decisions by providing relevant information. For example, sales data can guide inventory decisions.

2. **Performance Tracking**

   Data allows tracking of performance metrics, such as sales figures or employee productivity. For example, monthly sales reports can show whether sales targets are being met.

3. **Identifying Trends**

   Analyzing data helps spot trends and patterns over time. For example, tracking customer purchase patterns can reveal seasonal buying trends.

4. **Predictive Analysis**

   Data can be used to forecast future outcomes based on past trends. For example, historical sales data can help predict future sales.

5. **Problem Solving**

   Data helps identify issues and find solutions. For example, customer feedback data can highlight common problems and areas for improvement.

6. **Strategic Planning**

   Data supports long-term planning and strategy development. For example, market research data can guide new product development.

Limitations of Data

1.Incomplete Data

•Data might be missing or incomplete, leading to inaccurate conclusions

•.For example, if customer feedback data is only from a small sample, it may not represent the whole customer base.

2.Data Quality Issues

•Poor quality data can lead to incorrect insights.

•For example, data with errors or inconsistencies can mislead decision-making.

3.Over-Reliance on Data

•Relying too much on data can overshadow other important factors.

•For example, focusing solely on sales data might ignore customer satisfaction levels.

Limitations of data (contd…)

4.Data Privacy Concerns

- Collecting and using data can raise privacy issues.
- For example, personal data must be handled according to privacy regulations to protect customer information.

5.Bias in Data

- Data can be biased if not collected or analyzed properly.
- For example, if data is collected from a non-representative sample, it can lead to skewed results.

6.Data Overload

- Too much data can be overwhelming and hard to analyze.
- For example, having excessive amounts of data without proper tools can make it difficult to extract meaningful insights.


Thank You